Heavily shorted S&P 500 stocks keep underperforming: high short interest is a warning, not squeeze fuel

Does short interest predict short-horizon returns? Evidence from 240 FINRA releases, September 2016 – September 2026

BMF5324 AI and Statistics · **Group S02-10** · Lo Hao Yu, Michael Steven, Vini Shrivastava, Zhang Licheng

−6.2 bps
5-day market-adjusted return per 1 SD more short interest (t = −2.89)

+1.75 bps
SI × Coverage interaction is not significant (t = 1.22).

+5.95 bps
SI × Size interaction is significant (t = 2.94)

240 releases
103,920 stock-release observations across 2016–2026.

1 The question

FINRA publishes every stock's short interest twice a month, free to all investors. Should an S&P 500 manager read a high figure as a warning, or as buying demand still to come when short sellers cover?

Two rival readings

Informed selling
Short sellers know something, so heavily shorted stocks keep falling.
Desai et al. (2002); Asquith, Pathak & Ritter (2005)

Covering pressure
Shorts must buy back, so heavily shorted stocks rise.
Stice-Lawrence, Wong & Zhao (2025)

2 What we tested

H1 Higher short interest (% of float) predicts higher 5-day market-adjusted returns.

H2 This positive relationship is stronger among firms with lower analyst coverage.

Data and method

- **Sample:** 240 FINRA releases, 103,920 stock-release observations, averaging 433 S&P 500 constituents per release.
- **Timing:** Short interest is measured at settlement and used once publicly disclosed.
- **Outcome:** Five-day stock return minus the S&P 500 return over the same period, measured from the publication-day close.
- **Estimation:** Fama–MacBeth cross-sectional regressions with seven firm-level controls; Newey–West standard errors (4 lags).
- **Source:** LSEG Workspace, data pulled on 21 October 2026.

3 Result 1: Higher short interest predicts lower subsequent returns

	(1) SI only	(2) H1	(3) H2: coverage	(4) H2: size	Low-coverage third	High-coverage third
Short interest / float	−3.99 (−1.38)	−6.22*** (−2.89)	−5.04** (−2.36)	−0.89 (−0.34)	−8.83*** (−2.80)	−3.71 (−0.99)
SI × analyst coverage			1.75 (1.22)			
SI × size				5.95*** (2.94)		
Seven controls	No	Yes	Yes	Yes	Yes	Yes
Stocks per release	461	433	429	433	144	140

Fama-MacBeth over 240 releases. Basis points of next-5-day market-adjusted return per 1 SD; Newey-West t in brackets; *, **, *** = significant at 10%, 5%, 1% (memo Table 3).

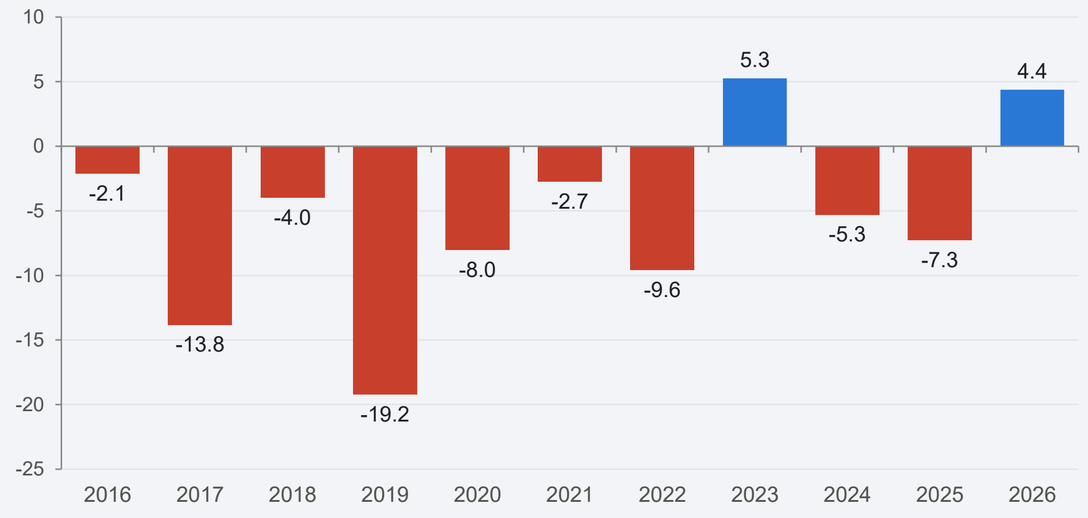
H1 is not supported: higher short interest predicts lower subsequent returns.
H2 is not supported: the analyst-coverage interaction is insignificant. However, the negative relationship is significantly stronger among smaller firms in an exploratory size-interaction analysis.

4 Result 2: the sign survives every check

Specification	SI / float (t)
Baseline: 5 days from the release-day close	−6.22 (−2.89)***
Window starts one day later (tradable)	−4.32 (−1.70)*
Release to the next release	−10.83 (−3.34)***
Next release to the one after	−11.09 (−3.47)***
Short interest / shares outstanding	−6.56 (−2.80)***
Value-weighted (by market cap)	−4.80 (−1.35)
Releases in 2016–2020	−10.64 (−3.05)***
Releases in 2021–2026	−2.89 (−1.16)
Pooled OLS, fixed control slopes, date-clustered	−4.43 (−1.38)

Memo Tables 4 and 6. The sign holds everywhere; significance fades when value-weighted, after 2021 and with fixed control slopes.

5 Weaker since 2021



Annual mean Fama–MacBeth short-interest coefficients (bps per 1 SD). The negative relationship is weaker in 2021–2026 (−2.89 bps) than in 2016–2020 (−10.64 bps), although a separate equal-half sample test does not establish a statistically significant decline. The 2016 and 2026 observations cover partial years.

6 What a manager should do

- Do not assume high short interest signals an imminent short squeeze.
- Use high short interest to flag stocks for further review, particularly smaller S&P 500 constituents.
- Treat it as a supplementary signal, not a stand-alone trading strategy.
- Monitor its predictive relationship after each FINRA release.

7 Limitations

- No direct covering or securities-lending data, including borrowing fees and utilization, to identify the underlying mechanism.
- Missing short-interest histories for 101 delisted constituents (7.7% of observations).
- H1 significance depends partly on model specification (pooled OLS with date-clustered SE: t = −1.38).
- Multiple specifications were tested; the significant size interaction is exploratory.
- S&P 500 sample only; trading costs and dividends are excluded.

References: Asquith, Pathak & Ritter (2005), JFE; Boehmer, Huszár, Wang, Zhang & Zhang (2021), RFS; Desai et al. (2002), JF; Fama & MacBeth (1973), JPE; Newey & West (1987), Econometrica; Stice-Lawrence, Wong & Zhao (2025), JAR. Data: LSEG Workspace, FINRA, Kenneth French Data Library. The memo and its replication notebook give every figure here.